ARP – Workshop 2

# Practice questions

# Question 1: Financial instruments

You are the financial controller of Tartan Tails plc (Tartan), a UK based listed company. The main business activity of Tartan is clothing manufacture and retail. Tartan prepares their financial statements in accordance with IFRS Accounting Standards.

On 1 January 20X2, Tartan acquired 3,000,000 £1 4% 20X8 debentures at a discount of 20% from Kilt4U Ltd (Kilt). Interest of 4% is payable annually in arrears and the effective rate of interest is approximately 6.8%. Tartan intends to sell the debentures before their maturity on 31 December 20X8. The fair value of the debentures was £2.6m on 31 December 20X2 and £2.5m on 31 December 20X3.

On the date of acquisition and 31 December 20X2, it is determined that there is no impairment. However, during the year ended 31 December 20X3 Kilt has confirmed that they are experiencing a significant decline in the operating results, but they are still expecting to pay all upcoming interest and redemption payments.

The directors of Tartan have determined the following as at 31 December 20X3:

| **Present value of expected cash flows** | **Probability of default within 12 months** | **Probability of default over lifetime** |
|---|---|---|
| £2,500,000 | 12% | 20% |
| £1,500,000 | 7% | 13% |
| Nil | 3% | 5% |

On 30 June 20X4, Tartan sells the debentures for £2.45m which was the fair value of the asset at that date. Selling costs of £20,000 were incurred.

**Requirements**

1. Advise, providing explanations, on how the financial instrument should be measured.
2. Prepare, providing explanations and showing all workings, journal entries to account correctly for the initial recognition and subsequent remeasurement of the financial asset in Tartan's financial statements for the year ended 31 December 20X2 and 31 December 20X3 (not including the impairment or derecognition).
3. Prepare, providing explanations and showing all workings, journal entries to account correctly for the impairment of the financial asset in Tartan's financial statements for the year ended 31 December 20X3.
4. Prepare, providing explanations and showing all workings, journal entries to account correctly for the derecognition of the financial asset in Tartan's financial statements for the year ended 31 December 20X4.

# Question 2: Distributable profits

1. Sandlar Ltd (Sandlar) had distributable profits of £725,000 at 1 January 20X5. During the year ended 31 December 20X5 it made profits of £210,000 after accounting for the following:

    - An investment property held under the fair value model was remeasured from £89,000 to £100,000.
    - A dividend of £55,000 was paid.
    - A revalued building was sold for a gain of £30,000. The revaluation surplus relating to the building at disposal was £90,000.
    - Land measured under the revaluation model was remeasured from £400,000 to £340,000. Immediately before the revaluation, the revaluation surplus had a balance of £25,000 relating to the land.

    What are the distributable profits of Sandlar at 31 December 20X5?

2. The directors of Robot Electronics Ltd (Robot) have asked you to advise on the maximum amount that the company could distribute as dividends at 31 December 20X6.

    - All retained earnings of £2,175,000 were distributable at 1 January 20X6.
    - Robot reported a draft profit of £675,000 for the year ended 31 December 20X6.
    - Robot measures its property under the revaluation model. However, it does not make transfers from revaluation surplus to retained earnings in respect of excess depreciation. At 31 December 20X6, accumulated depreciation on the revalued assets was £332,000 and accumulated depreciation would have been £115,000 on the historical cost basis.
    - Included in the profit for the year is a gain of £25,000, representing the increase in fair value of a derivative for which there is a readily available market.
    - In March 20X6, Robot sold electrical goods to a customer in exchange for machine tools. As the fair value of the machine tools exceeded the cost of the electrical goods, a £22,000 gain was included in profit for the year
    - A supplier invoice in US dollars included in Trade Payables at 31 December 20X6 was retranslated at a gain of £25,000.

# Question 3: Disposal of subsidiary

You are the finance manager of Bolt Shoes Ltd (Bolt), a UK-based company. Bolt has one subsidiary, Edwards Trainers Ltd (Edwards) and you are preparing the consolidated financial statements for the year ended 31 December 20X3 in accordance with IFRS Accounting Standards. The main business activity of the group does not include investing in assets or providing finance.

You have prepared all the journals except the disposal journal. Bolt acquired 80% of Edwards' 100,000 shares several years ago and goodwill of £100,000 was recognised. Bolt sold its entire shareholding in Edwards on 31 December 20X3 for £2,000,000. Proceeds were recognised as Dr Cash and cash equivalents and Cr Revenue.

At 31 December 20X3 goodwill had been impaired by £20,000.

The equity of Edwards at 31 December 20X3 is:

| | **30 December 20X3** |
|---|---|
| | **£'000** |
| Share capital | 100 |
| Share premium | 50 |
| Retained earnings | 2,200 |
| **Total equity** | **2,350** |

**Required**

1. Prepare, showing all workings, the disposal journal for the year ended 31 December 20X3.
2. Assume Bolt only sold 10,000 shares in Edwards on 31 December 20X3 and proceeds were £250k. Proceeds were recognised as Dr Cash and cash equivalents and Cr Revenue. Prepare, showing all workings, the disposal journal for the year ended 31 December 20X3.

# Question 4: Foreign subsidiary

You are a financial accountant working for Jeffries plc ('Jeffries'), a UK-based company that holds investment in one other entity, Suso SA ('Suso'). Today, you are preparing the consolidated financial statements for the year ended 31 March 20X8, in accordance with IFRS Accounting Standards. The main business activity of the group does not include investing in assets or providing finance.

Details of these companies are included in Appendix 1 and financial statements of Jeffries and Suso are included in Appendix 2.

**Required**

1. Prepare, showing workings, any consolidation journal entries necessary for the year ended 31 March 20X8.
2. Construct, showing all workings, the Jeffries Group consolidated statement of financial position as at 31 March 20X8.

**Appendix 1**

**Details concerning Suso**

Jeffries acquired 70% of the 7,000,000 €1.00 ordinary shares of Suso on 1 April 20X7 for £5,000,000. At that date, the retained earnings of Suso were €3,000,000. The share capital of Suso has not changed since the date of acquisition. There has been no impairment of goodwill in the year.

**Further information**

1. Suso paid a dividend of €2.00 per share in January 20X8. Jeffries includes dividends received in dividend income. Dividends are translated at the average rate for the year.

2. Rates of exchange were as follows:

| **Date** | **€:£** |
|---|---|
| 1 April 20X7 | 1.48 |
| Average for the year ended 31 March 20X8 | 1.40 |
| 31 March 20X8 | 1.34 |

**Appendix 2**

| **Statements of financial position**<br>**As at 31 March 20X8** | **Jeffries**<br>**£'000** | **Suso**<br>**€'000** |
|---|---|---|
| **ASSETS** | | |
| **Non-Current Assets** | | |
| Property, plant and equipment | 16,650 | 10,800 |
| Investments | 10,600 | - |
| | 27,250 | 10,800 |
| **Current assets** | | |
| Inventories | 6,400 | 2,450 |
| Trade and other receivables | 5,900 | 3,600 |

| | | |
|---|---|---|
| Cash and cash equivalents | 1,300 | 100 |
| | 13,600 | 6,150 |
| **Total Assets** | 40,850 | 16,950 |
| | | |
| **EQUITY AND LIABILITIES** | | |
| **Equity** | | |
| Share capital | 10,000 | 7,000 |
| Retained earnings | 17,750 | 7,400 |
| Revaluation Surplus | 3,500 | - |
| **Total equity** | 31,250 | 14,400 |
| **Non-Current Liabilities** | | |
| Bonds | 3,000 | - |
| **Total non-current liabilities** | 3,000 | - |
| **Current Liabilities** | | |
| Trade and other payables | 3,100 | 950 |
| Current Tax Payable | 3,500 | 1,600 |
| **Total current liabilities** | 6,600 | 2,550 |
| **Total liabilities** | 9,600 | 2,550 |
| **Total equity and liabilities** | 40,850 | 16,950 |

| **Statements of profit or loss For the year ended 31 March 20X8** | **Jeffries £'000** | **Suso €'000** |
|---|---|---|
| **Revenue** | 52,100 | 36,300 |
| Cost of sales | (32,800) | (10,700) |
| Gross profit | 19,300 | 25,600 |
| General and administrative expenses | (5,825) | (4,100) |
| **Operating profit** | 13,475 | 21,500 |

| | | |
|---|---|---|
| Dividend income | 7,395 | - |
| **Profit before finance and income taxes** | 20,870 | 21,500 |
| Interest expense on borrowing and lease liabilities | (180) | - |
| **Profit before tax** | 20,690 | 21,500 |
| Taxation | (7,500) | (3,100) |
| **PROFIT FOR THE YEAR** | 13,190 | 18,400 |



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